

Halqa — Legal Verification of 24 September 2026

24 September 2026, revision 2. Prepared for Taha Amjed, Chairman. A second check of the collection design and the licensing position settled on 22 and 23 September, made against the primary text of each instrument. Four instruments were read in full for this check: the Payment Systems and Electronic Fund Transfers Act 2007, the State Bank's Rules for Payment System Operators and Payment Service Providers 2014, the State Bank's Regulations for Electronic Money Institutions 2023, and the Commission's Corporate Insurance Agents Regulations 2020. Revision 2 adds the findings of a word-for-word check of every quotation in the document set, at section 5.

1. Result

The position that Halqa can operate without a financial licence and without entering the State Bank's regulatory sandbox holds. It holds on one condition that the documents of 22 and 23 September understated: every movement of a member's money is executed by a licensed institution under its own licence, and no member's money ever settles into an account of Halqa's. Halqa's own fee is the only exception.

Two parts of the design as written would breach that condition. The first is the default collection rail, which would settle every contribution into Halqa's account. The second is a pooled daily collection on HYPER, which no payment service provider is permitted to hold. The first is resolved by collecting contributions through an electronic money institution, which the State Bank's 2023 regulations authorise to provide payment initiation to a fintech through its programming interface. The second is resolved by removing the pool: each HYPER payer pays one collector directly.

2. What holds

Point	Verified text	Source
Auto-pull may be authorised inside the application	"A preauthorized Electronic Fund Transfer from a Consumer's Account may be authorized by the Consumer either in writing, or in any other accepted form."	PS&EFT Act 2007 s.35(1)

Point	Verified text	Source
The member may stop it at any time	"A consumer may stop payment of a Preauthorized Electronic Fund Transfer by notifying the Financial Institution."	PS&EFT Act 2007 s.35(2)
Halqa is not a payment service provider	A PSO or PSP is an Authorized Party "engaged in operating and/or providing Payment Systems related services like electronic payment gateway, payment scheme, clearing house, ATM Switch, POS Gateway, E-Commerce Gateway etc. acting as an intermediary for multilateral routing, switching and processing of payment transactions." Halqa routes, switches and processes nothing.	PSO/PSP Rules 2014, rule 2(p)
A provider may contract with a company such as Halqa	A PSO or PSP "can make agreements with Banks, FIs and other PSOs and PSPs Merchants, e-commerce service providers and any other company for the provision of services mandated to the PSO and PSP under these rules."	PSO/PSP Rules 2014, rule 6.1
Holding a member's account is what would bring Halqa under the Act	"The State Bank shall determine, which provisions of this Act ... shall apply to a person other than a Financial Institution, holding a Consumer's Account." Halqa holds none.	PS&EFT Act 2007 s.28
No electronic money licence	No claim on Halqa is issued and no funds are received against one.	PS&EFT Act 2007 s.2(s), verified 22 September
No deposit	The fee is "an advance against ... provision of services in the ordinary	Companies Act 2017 s.84, Explanation, verified 22 September

Point	Verified text	Source
	course of business".	
No peer-to-peer lending	No member pays or compensates another member for position.	NBFC Regulations 2008, peer-to-peer chapter, verified 22 September
Halqa cannot be the insurer; agency is the correct route	The agent regulations "are applicable to all corporate insurance agents of life and non-life insurers including the family and general takaful operators", and extend to distribution "through technology".	Insurance Ordinance 2000 s.5(1); Corporate Insurance Agents Regulations 2020, reg 1(3)
Cover may be bundled with the committee if the two costs are shown apart	The agent shall, "for an insurance product which is bundled with any other product offered by the Corporate insurance agent, mention the cost of the insurance product and the other product separately". The three way split meets this.	Corporate Insurance Agents Regulations 2020, reg 11(1)(d)
Cover may be accepted inside the application	Consent may be "obtained through acceptance of the policyholder on a secure web-based 'I agree' or 'I accept' button or any similar mechanism".	Corporate Insurance Agents Regulations 2020, reg 3(1)
Bureau reports on the member's own instruction	Unchanged.	Credit Bureaus Act 2015 s.19(1)(b), verified 22 September
The sandbox is not required	The sandbox is for an activity that needs authorisation where no enabling framework exists. Halqa's position has an enabling framework in the electronic money regulations, through the partner (section 3.2).	SBP Regulatory Sandbox Guidelines 2025, verified 22 September; EMI Regulations 2023, para 7.I(h)

3. What changes

3.1 The default collection rail

Raast Request to Pay is a merchant product. A registered merchant sends the request, and on acceptance "the Merchant will receive Instant Settlement" (Bank Alfalah, Raast P2M Request to Pay terms). If Halqa sends the request for a contribution, the contribution settles into Halqa's account. That is the acceptance of a deposit under section 84(1) of the Companies Act, with personal liability under section 84(3) for every officer in default.

The rule that replaces it: Halqa sends a Request to Pay only for its own fee, of which it is the rightful payee. A contribution is paid by the member to the collecting member, either initiated by the member over Raast from their own banking application, or through an electronic money institution's payment initiation service under section 3.2.

3.2 The payment partner

A payment service provider "will not act as custodian of consumer's money" (PSO/PSP Rules 2014, rule 6.5), so no provider of that kind may hold a day's pooled contributions on HYPER.

An electronic money institution may:

Service	Text
Payment initiation and aggregation	"Services relating to payment aggregation, bill/invoice aggregation, payment initiation, as well as account information" (para 7.I(f))
Escrow, with separate approval	"Offer escrow services for facilitating domestic e-commerce transactions. However, EMIs shall obtain separate approval from SBP." (para 7.I(g)). Escrow is "a service through a financial agreement whereby money is held by a regulated entity on behalf of two other parties that are in the process of completing a transaction" (para 2)
Services to a fintech through an interface	"Offer services via secured Application Programming Interfaces (APIs) and other secure methods to other Financial Institutions, Third Party Service Providers (TPSPs) and other Fintech. In this regard, the EMIs have to intimate SBP 30 days prior to offering these

Service	Text
	services." (para 7.l(h))

Regulations for Electronic Money Institutions 2023, State Bank PSPOD Circular No. 3 of 2023, 21 June 2023.

The consequence is that the payment partner is an electronic money institution. Halqa's place in the State Bank's framework is that of a third party service provider using the institution's interface, and the institution carries the regulated activity under its own licence and notifies the State Bank of the arrangement. That notification, made by the licensed institution, is what puts Halqa in front of the regulator without Halqa applying for anything. Payment service providers such as PayFast and Safepay remain usable for collecting Halqa's own fee.

3.3 The HYPER service fee

"The corporate insurance agent shall not charge, to the policyholder, any service fee, processing fee, administration charge or any other charge unless such a charge has been included by the insurer in the premium and communicated to the policyholder in advance." (Corporate Insurance Agents Regulations 2020, reg 8(3))

The Hyper document, at revision 3, listed agency among the purposes of Halqa's service fee; the listing is removed from revision 4 onward. The fee is charged for the committee service only and is never described as paying for distribution of cover. Where cover is optional, the fee is the same with or without it. Halqa's only income from cover is the operator's commission, which "must be computed on premiums received by the insurer" (reg 8(2)). The premium passes to the operator in full: the agent "shall always pay the gross premium to the insurer and shall not retain any part of the insurance premium" (reg 5(4)).

3.4 Claims

"The insurer shall make the claim settlement directly in the name of the policyholder, life assured, his nominee or guardian, as the case may be." (reg 7(4)). A claim is paid by the operator to the affected member, never to the circle.

3.5 Compulsory cover on HYPER

The agent must "ensure that no prospect is coerced ... to buy an insurance product" (reg 10(c)). Cover is a fixed part of every HYPER payment. The bundle is disclosed with its costs shown separately, which reg 11(1)(d) contemplates, but whether a compulsory bundle sits within reg 10(c) is to be confirmed in a written opinion of counsel before HYPER opens.

4. Corrections to the documents of 22 and 23 September

Document	As written	Correct
Statutory Position, s.35(1)	Adds "and a copy of such authorization shall be provided to the Consumer when made"	Those words are from the United States statute, not the Act. Section 35(1) ends at "in any other accepted form."
Statutory Position, s.30	Headed "Disclosures", with the addressee omitted	Headed "Terms and Conditions of Transfers". The terms "shall be disclosed by a Financial Institution, operator or other Authorized Party in English and in a manner clearly understood by the consumer, at the time the Consumer contracts for an Electronic Fund Transfer service, in accordance with the instructions of the State Bank."
Statutory Position, s.31(1)	"if such change would result in greater cost or liability for such Consumer or decreased access"	Those words are from the United States statute. The Act: "A Financial Institution or any other Authorized party, shall notify a Consumer in writing ... at least twenty-one days prior to the effective date of any material change in any term or condition of the Consumer's Account ... unless such change is immediately necessary to maintain or restore the security of an Electronic Fund Transfer system or a Consumer's Account."
Statutory Position, s.36(2)	"report or mail the results of such investigation and determination"	Those words are from the United States statute. The Act: "When an error has occurred, the Financial Institution or the Authorized Party shall investigate the alleged error to determine whether an error has

Document	As written	Correct
		occurred, and report in writing the result of such investigation to the consumer within ten Business Days."
Statutory Position section 6; message to Akif Saeed	The duties in ss.30, 31, 35(2) and 36 presented as Halqa's own obligations	The Act places them on the member's bank and on the Authorized Party, that is the licensed payment institution. Halqa supports each by design and by contract. Presenting them as Halqa's own statutory duties would characterise Halqa as an Authorized Party, which is the reading to avoid.
Collection and Auto-Pull Specification	"s.30(2): all six items included"	Section 30(2) lists ten items, (i) to (x)
Statutory Position section 5	Electronic money institution capital cited to the 2019 Regulations, as a secondary source	Regulations for Electronic Money Institutions 2023, para 11.I, primary: Rs 200 million initial; ongoing Rs 200 million up to Rs 4 billion of outstanding e-money, Rs 200 million plus 5 per cent of the excess to Rs 10 billion, Rs 500 million plus 7.5 per cent of the excess to Rs 20 billion, and Rs 1.25 billion plus 10 per cent above that; 10 per cent of required capital held as a security deposit with the State Bank
Statutory Position section 5	Payment service provider capital not stated	PSO/PSP Rules 2014, rule 4.1, primary: Rs 200 million paid-up, plus 25 per cent for each additional business application, and 10 per cent held as a security deposit with the State Bank

Document	As written	Correct
Collection and Auto-Pull Specification; message to Akif Saeed	Raast Request to Pay as the default rail for contributions	As section 3.1
Hyper Committee, revision 3	Agency listed among the purposes of the service fee	As section 3.3
Complete Feature and Process List, revision 2	Claims paid "to the circle or to the affected member"	As section 3.4

5. Further findings on a second word-for-word check

Every quotation in the document set was then checked word for word against the text of the instrument it cites, and every section number against the instrument's own table of contents. The check found the following, all corrected in the revisions listed in section 6.

Document	As written	Correct
Statutory Position, revision 2	"Resolution of Errors" quoted as section 32	Section 32 is "Availability of Documentation and Proof". The Act deals with errors in section 36, notification and investigation, and section 37, correction within one Business Day of the finding
Statutory Position, revision 2	"Prohibition of Issuance of Payment Instruments" and "Criminal Liability" printed as sections 4 and 5	Sections 14 and 56 of the Act
Statutory Position, revision 2	"Requirements on users" and "Legal recognition of electronic forms" printed as sections 27 and 28 of the Credit Bureaus Act 2015	Sections 31 and 32
Statutory Position, revision 2	"Legal recognition of electronic signatures" and "Presumption relating to advanced electronic signature" printed as sections 5 and 6 of the Electronic	Sections 7 and 9

Document	As written	Correct
	Transactions Ordinance 2002	
Statutory Position, revision 2, paragraphs 2.1, 2.4 and 3.1	A fee "graded by seat position"	The fee is the same for every seat on the roster
This document, sections 2 and 3.5; Hyper Committee, revision 4	The rule on bundled products cited as regulation 10(d)	Regulation 11(1)(d). Regulation 10(c), which bars coercion, is correctly cited
This document, sections 1 and 5	The HYPER pool resolved by escrow at an electronic money institution	Superseded the same day. Each HYPER payer pays one collector directly, so no pool exists and escrow under para 7.1(g) is not needed (Hyper Committee, revision 4)
Business Model, revision 2; master deck of 23 September; five of the eight maps	Raast Request to Pay as the default rail for contributions, and a payment aggregator as the partner	As sections 3.1 and 3.2
Complete Feature and Process List, revision 2	Penalties on Shariah labelled circles paid "to the circle pool"; a seat fee that "varies with the seat"	Penalties are given to charity at the end of the circle; the fee is the same for every seat
Collection and Auto-Pull Specification, revision 2	Penalties on Shariah labelled circles routed "to the members of the circle"	Given to charity at the end of the circle, as in the Feature List and the application
Hyper Committee, revision 4	Net per cycle of Rs 1,473,000 and Rs 843,986, leaving out the partner's charge for the token mandate	Rs 1,338,000 and Rs 767,936 once the charge of Rs 135,000 and Rs 76,050 is included, as in the Business Model

Two quotations in the Collection and Auto-Pull Specification come from the State Bank's Raast person to person page rather than an instrument, "No charges on Raast related services" and "Specify beneficiary's IBAN or Raast ID (mobile number)". Both were confirmed against that page on 24 September 2026.

6. Actions, in order

1. The message to Akif Saeed is not to be sent in its 23 September form. A corrected version is in the

folder.

2. The partner enquiry goes to electronic money institutions first, NayaPay and SadaPay, confirmed against the State Bank's register of licensed institutions, and to PayFast and Safepay second, for Halqa's own fee collection only. Two questions are added: whether the institution will provide payment initiation and aggregation to Halqa under para 7.1(f) through its interface under para 7.1(h); and when it would make its 30 day notice to the State Bank.
3. Collection tier one is re-specified as in section 3.1 before any rail work begins.
4. The HYPER fee purpose and the claims route are corrected as in sections 3.3 and 3.4.
5. Two written opinions of counsel are obtained: on the compulsory cover bundle under reg 10(c), and on limb (xii) of the financial institution definition in the Anti-Money Laundering Act, already listed.
6. Done on 24 September 2026: the Statutory Position (revision 3), the Collection and Auto-Pull Specification (revision 3), the Hyper Committee (revision 5), the Complete Feature and Process List (revision 3) and the Business Model (revision 3) carry sections 3 to 5.

7. Sources

Instrument	Text used	Standing
Payment Systems and Electronic Fund Transfers Act 2007	Pakistan Code consolidated text, 25 pages, read in full	Primary
Rules for Payment System Operators and Payment Service Providers 2014	State Bank PSD Circular No. 3 of 2014, 24 pages, read in full	Primary
Regulations for Electronic Money Institutions 2023	State Bank PSPOD Circular No. 3 of 2023, 52 pages, read in full	Primary
Corporate Insurance Agents Regulations 2020	S.R.O. 1304(I)/2020, Gazette of Pakistan, 5 December 2020, 43 pages, read in full	Primary
Raast P2M Request to Pay	Bank Alfalah product terms	Product terms of a Raast participant
Raast person to person	State Bank of Pakistan, Raast person to person page	Published by the operator of Raast
Electronic Transactions Ordinance	Pakistan Code text, 20 pages, read	Primary

Instrument	Text used	Standing
2002	in full	
Companies Act 2017, Credit Bureaus Act 2015, Insurance Ordinance 2000, NBFC Regulations 2008, SBP Regulatory Sandbox Guidelines 2025	As verified on 22 September 2026	As stated in the Statutory Position

This document states a statutory position. It is not legal advice and requires confirmation by Pakistani counsel before it is relied upon in any agreement, application or representation to a third party.